

S	E	R	V	E	D
August 16, 2017					
FEDERAL MARITIME COMMISSION					

FEDERAL MARITIME COMMISSION

DOCKET NO. 17-05

CMI DISTRIBUTION, INC.

v.

**SERVICE BY AIR, INC., RADIANT CUSTOMS SERVICES INC. (FORMERLY
KNOWN AS SBA CONSOLIDATORS, INC.) and LAS FREIGHT SYSTEMS LTD.**

**NOTICE OF DEFAULT AND
ORDER FOR LAS FREIGHT SYSTEMS LTD. TO SHOW CAUSE**

On May 31, 2017, complainant CMI Distribution, Inc. (CMI) commenced this proceeding by filing a Complaint with the Secretary. CMI alleges that respondents Service by Air, Inc. (SBA); Radiant Customs Services Inc. (formerly known as SBA Consolidators, Inc.) (Radiant); and LAS Freight System Ltd. (LAS Freight) are non-vessel-operating common carriers (NVOCC) within the meaning of the Shipping Act. (Complaint ¶¶ 2-4, 8.) CMI alleges that “[b]etween April 2014 and June 2015, CMI engaged Respondents to provide transportation of more than 60 shipments . . . with Respondents from China to Illinois.” (Complaint ¶ 6.) The Complaint alleges that Respondents violated the Shipping Act of 1984 (Shipping Act or Act) on the shipments.

On July 10, 2017, CMI filed a motion for default against LAS Freight. On July 13, 2017, LAS Freight sent a letter to the Commission’s Assistant Secretary stating:

We, LAS Freight . . . and [SBA] . . . are non exclusive independent agency.

We have handled CMI shipment under SBA’s instructions to ship goods from Shanghai, China to Chicago, USA only. We have not involved any payment or service with consignee (CMI) in destination.

In response to your notice mail, Rf. Docket No.17-05, please read the attached email from SBA Again, LAS hold no business liability with the pertinent claimed [demurrage] case.

(Letter dated July 13, 2017, from LAS Freight to Assistant Secretary.) LAS Freight attached an email exchange between it and SBA to the letter. The first email from LAS Freight to SBA, "Subject: CMI's claim about demurrage billed by you in destination for 2014-2015 seafreight," states:

Enclosed pls find [attachments] from FMC regarding claims from CMI about demurrage billed by you in destination. We don't know why LAS has been involved? Would you pls refer FMC's letters to shed us more light on this subject for Erwin Hsu handled these cases during 2014 - 2015 who left our office.

Looking forward to hearing from you soon and thank you in advance.

(Email dated July 12, 2017 7:38 AM from LAS Freight to SBA.) The response from SBA states: "Disregard This has been settled." (Email dated July 12, 2017 9:22 from SBA to LAS Freight.) The Assistant Secretary has made the letter and the emails part of the record. Although the letter and the attached emails deny liability, they do not constitute an answer to a complaint that complies with the Commission's rules. See 46 C.F.R. § 502.62(b)(2).

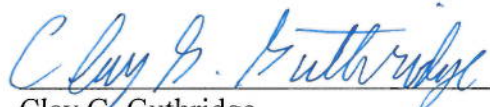
LAS Freight has not filed an answer or otherwise responded to the Complaint or responded to the motion for default. Therefore, LAS Freight is currently in default. LAS Freight, which apparently does not have a lawyer and appears *pro se*, may be under the impression that its letter and emails are a sufficient response to the Complaint and the motion or that CMI's claims against Respondents have been settled as stated in SBA's email and no response to the complaint or the motion is required. Therefore, LAS Freight will be granted additional time to respond properly to the Complaint and to show cause why judgment should not be entered against it. If LAS Freight fails to respond to this Order by August 30, 2017, an initial decision on default may be entered against it. CMI, SBA, and Radiant may file responses to LAS Freight's response.

For the reasons stated above, it is hereby

ORDERED that on or before August 30, 2017, respondent LAS Freight System Ltd. serve and file its answer to the Verified Complaint. It is

FURTHER ORDERED that on or before August 30, 2017, respondent LAS Freight System Ltd. show cause why an initial decision on default should not be entered against it. It is

FURTHER ORDERED that on or before September 13, 2017, CMI Distribution, Inc., Service by Air, Inc., and Radiant Customs Services Inc. may file responses to LAS Freight's response.


Clay G. Guthridge
Administrative Law Judge